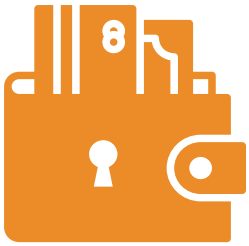
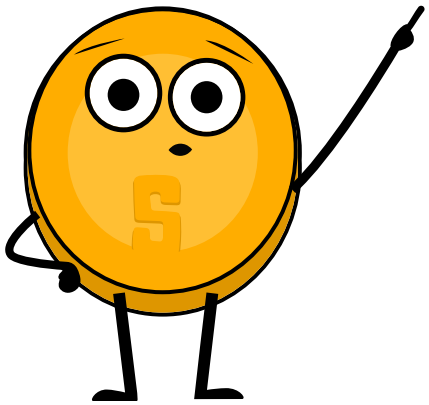
In a **self-custodial wallet** (also called **non-custodial wallet**,) you are the only one with the **keys** to the wallet and **you have full control over what goes in and out**. On the other hand, in a custodial wallet, someone else holds the key and can access and manage the contents of the wallet on your behalf.

- Self-custody is like being your own bank. Transactions are not subject to control or authority by any government or company, but it also means you bear full responsibility for keeping your ***bitcoin*** secure.
- Self-custody ensures that third parties cannot confiscate your ***bitcoin*** without your consent.
- Self-custody gives peace of mind in times of uncertainty, knowing your ***bitcoin*** is secure.



It's important to choose the right type of wallet for each individual's needs. Sometimes people find it hard to distinguish whether they are installing a custodial or a self-custodial wallet. This table shows the differences in installation process.

| Wallet Type | Step 1: Choose a Wallet | Step 2: Install the Wallet | Step 3: Create a New Wallet | Step 4: Secure Your Seed Phrase | Step 5: Start Using Your Wallet |
|---|---|---|---|---|---|
| **Self-Custodial Wallets** | Choose a self-custodial wallet provider | Follow the wallet provider's instructions | Generate ***recovery phrase*** and at least one **private key** | Store the ***recovery phrase*** in a secure location | Start using the wallet to receive and send ***bitcoin*** |
| **Custodial Wallets** | Choose a custodial wallet provider | Follow the wallet provider's instructions | Create an account with the wallet provider | N/A (wallet provider holds the **private keys**) | Start using the wallet to receive and send ***bitcoin*** |



When it comes to storing your ***bitcoin***, it's not just about who has control over it - there are many other risks to consider as well. That's why it's important to find a storage solution that is both secure and convenient.